AJINOMOTO CO., INC.

Tokyo Stock Exchange Prime: 2802 | Seasonings, frozen foods, amino acids, CDMO, and ABF build-up film for chip packages | Tokyo, Japan | Fiscal year ends 31 March

Tommy Lau | 7 October 2026 | Initiation of coverage | Independent research

INITIATE AT NO CALL	**Target price:** None (no call)	**Last price:** ¥5,346 (Tokyo close, 7 October 2026)	**Upside:** Base value ¥4,369 (-18%)

Ajinomoto is a food company with a chip film inside. At ¥5,346, most of the price is for the film.

Ajinomoto sells seasonings, frozen foods and amino acids. It also makes ABF, the insulating film inside the base of almost every high-performance processor. On 7 October I argued that the film grows with the area of each AI package, and stays with Ajinomoto at high margins. The results support it: film sales rose 54% and profit 77% in April to June 2026.

By sales this is a food company: the film was 6.4% of fiscal 2025 sales. By profit it is a quarter to a third. By value at ¥5,346 it is mostly film: everything else is worth about ¥2,024 a share on my numbers, so the price pays 40 times my fiscal 2027 estimate of the film's profit.

My call: NO CALL, leaning short, low conviction. My sum of the parts, 18 times for everything else and 28 times for the film on fiscal 2027, gives ¥4,369, down 18%, inside my no-call band. The bear case is ¥2,898 (down 46%) and the bull ¥6,164 (up 15%); on peer medians alone the value is ¥3,929 (down 27%).

Stock data

LAST PRICE
¥5,346, close 7 October 2026; past-year closes ¥3,300 to ¥6,175

MARKET VALUE
About ¥5,084bn on 950.9m shares; EV ¥5,522bn

NET DEBT
¥364.9bn at 30 June 2026, excluding leases

MULTIPLES
P/E 36.6x FY2026 consensus; EV 27.3x guided business profit

FY2026 GUIDE (6 AUG)
Sales ¥1,732.0bn; business profit ¥202.0bn; EPS ¥129.84; film ¥120.6bn sales, ¥65.5bn profit

THE FILM'S SHARE, FY2025
6.4% of sales; 24.4% of business profit before shared costs

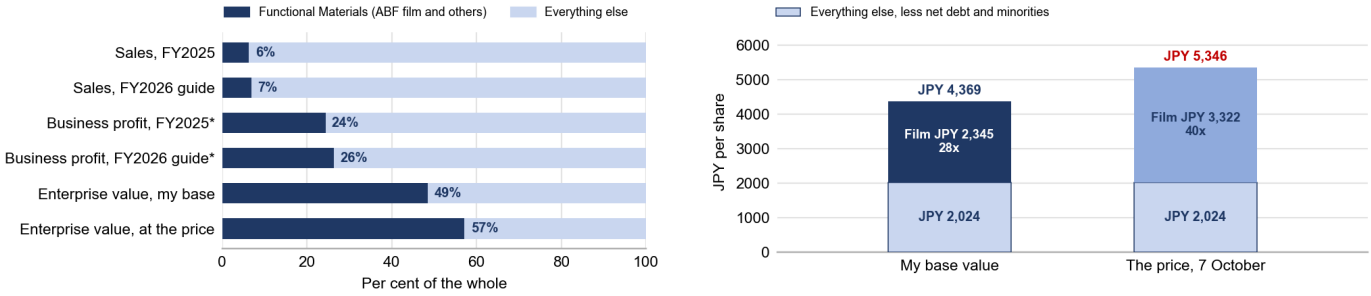
NEXT RESULTS
Q2 FY2026, 9 November 2026 (third-party calendar; not yet on Ajinomoto's)

Key financials (IFRS; fiscal years to 31 March)

¥ billion unless stated	FY2024A	FY2025A	Q1 FY26A	FY2026 guide	FY2026E*	FY2027E*
Sales	1,530.6	1,583.7	412.1	1,732.0	1,741.1	1,832.6
Functional Materials sales	76.5	100.7	33.1	120.6	130.0	152.0
Functional Materials business profit	40.2	54.6	19.1	65.5	72.8	85.1
Film margin	52.5%	54.2%	57.7%	54.3%	56.0%	56.0%
Food business profit (S&F + Frozen)	147.1	151.4	43.1	158.0	158.0	164.3
Group business profit	159.3	181.1	60.1	202.0	209.1	228.9
Film share of profit before shared costs	20.2%	24.4%	27.4%	26.4%		
EPS (¥)	69.77	138.36	38.11	129.84	135.09	150.46
Consensus EPS (¥)					146.08	n/v
P/E at ¥5,346 (x)	76.6	38.6		41.2	39.6	35.5

**My own estimates. FY2026 is the year to March 2027. Consensus: stockanalysis.com (S&P Global), updated 7 August 2026; n/v: FY2027 consensus not verified. FY2025 EPS includes a ¥41.2bn gain on the sale of fixed assets. History from Ajinomoto's tanshin and Consolidated Results data sheets; FY2024 business profit restated without shared costs.*

Two charts: small in sales, large in value

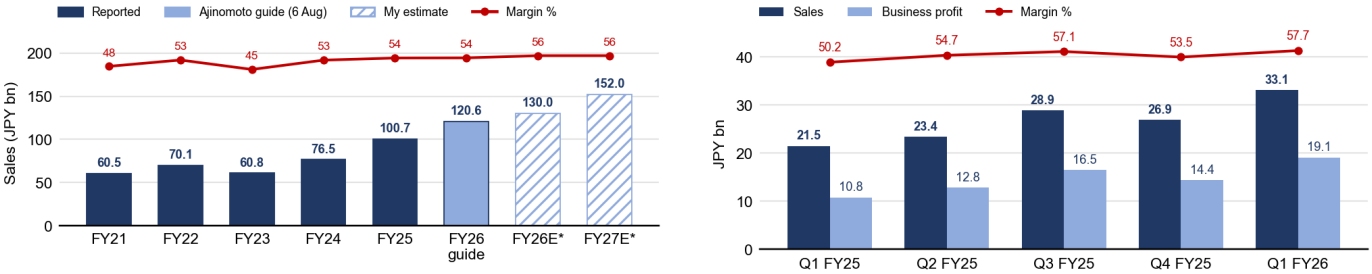


*Left: Functional Materials as a share of sales, of business profit (*before shared costs) and of enterprise value, at my base and at the price. Right: value per share. Everything except the film, less net debt and minorities, is worth about ¥2,024; the rest of the price pays 39.7 times my FY2027 film profit after costs, against my 28 times.*

The thesis: the pasta maker inside a grocer

Go back to the lasagne in the piece. Ajinomoto makes the pasta sheets that hold every layer of an AI chip's base apart, and the dish keeps getting wider and taller. But the shop that makes the sheets is mostly a grocer. Most of what it sells is soup stock, mayonnaise and frozen dumplings.

By sales, a food company. Seasonings and Foods and Frozen Foods were 77.5% of fiscal 2025 sales of ¥1,583.7bn. Functional Materials, the film business inside Healthcare and Others, sold ¥100.7bn, 6.4%. **By profit, a quarter to a third.** It earned ¥54.6bn at a 54.2% margin: 24.4% of the businesses' profit before ¥42.5bn of shared costs, against 67.7% for food. With a sales-based share of those costs it earned ¥51.9bn, 28.7% of group business profit. Ajinomoto Fine-Techno, which makes the film, earned ¥53.0bn of operating profit on ¥98.4bn of sales.



Left: Functional Materials sales and business profit margin by fiscal year, the 6 August guide and my estimates (profit bases differ slightly before FY2024). Right: by quarter, Q1 FY2025 to Q1 FY2026. Source: Ajinomoto Consolidated Results data sheets.

The claim is holding. In April to June 2026 film sales rose 54% and profit 77%, a 57.7% margin. Ajinomoto said ABF sales "continue to be strong" for AI, server and network boards and its "product mix is also improving", and raised its guide by ¥9.0bn of sales and ¥5.0bn of profit, all in this business. Servers and networks stayed at 70% of film volume in fiscal 2025, the piece's floor, as read from the chart on slide 25 of the 7 May 2026 presentation (rounded to five points). **It is not a straight line:** in fiscal 2023 film sales fell 13% and profit 25%, to a 45% margin, as substrate makers cut stock.

The margin is disclosed in yen. The Consolidated Results data sheets print Functional Materials sales and business profit in yen every quarter (¥100.7bn and ¥54.6bn for FY2025; ¥33.1bn and ¥19.1bn for Q1 FY2026), so the margin can be computed exactly: 54.2% and 57.7%. The margin half of the claim's test therefore rests on reported figures, not on wording Ajinomoto might stop printing.

Price is the open question. On 31 March 2026 Palliser Capital, an activist among the top 25 shareholders, asked for a film price rise of more than 30% and for Functional Materials to become a reportable segment. In May DigiTimes reported that Taiwanese substrate makers had notice of a 30% rise from the third quarter of 2026. Ajinomoto's own documents do not mention it, so I treat it as not verified.

Variant perception: what the market prices in, and where I differ

The price. At ¥5,346 on 950.9m shares, my arithmetic after buybacks to 30 September, the market value is ¥5,084bn and the enterprise value ¥5,522bn, 27.3 times guided business profit. The obvious objection to valuing it as one company is that the parts are so different. So I split it. I spread shared costs and about ¥18bn a year of other operating expense by sales, so the film carries 8.3% of them: Fine-Techno's own accounts already carry most of its overheads.

What the price implies. Everything except the film earns ¥131.3bn after costs in fiscal 2027 on my numbers. At 18 times, less net debt and minorities, it is worth ¥2,024 a share, 38% of the price. The other ¥3,159bn of enterprise value prices the film at 39.7 times my ¥79.6bn of film profit after costs, 57% of the enterprise value. So a call on these shares is, by sales, a call on a food company, but the price is mostly about the film. Every 10% on the film's implied value moves the shares about ¥332, 6.2%.

Where I differ. At 28 times the price needs about ¥113bn of film profit after costs, about ¥119bn of Functional Materials business profit, more than twice fiscal 2025's ¥54.6bn. My base is ¥85.1bn on sales of ¥152bn. The price's number needs the reported 30% rise to hold in full, and volume to keep growing from plants that add capacity slowly until Kani City opens in fiscal 2032. That is my bull case, not my base.

Valuation, with the working

FY2026E: Ajinomoto's guide except the film, where I take ¥130bn at 56% (guide ¥120.6bn at 54.3%; it implies only 10% growth for the last three quarters after 54% in the first). Business profit ¥209.1bn, EPS ¥135.1, 7.5% below consensus. **FY2027E**: film sales +17% to ¥152bn at 56%, food profit +4%, Bio-Pharma ¥20bn: business profit ¥228.9bn, EPS ¥150.5.

The multiples. 18 times for everything except the film, between Nestle (17.0x) and Kikkoman (18.9x), the closest peer. Ajinomoto's own year-end P/E from FY2016 to FY2021 ran 18.0 to 58.5 times, the top inflated by impairments in FY2018 and FY2019; as P/E figures they support an EV multiple only roughly. 28 times for the film, a premium to the 24.5 times median of electronic materials peers, which rests on three names and so equals Resonac, for a margin above 50% and a share Ajinomoto puts above 95%.

Scenarios: three cases, twelve months out

Case	What happens	Film sales FY27	Film margin	Multiples	Film share of EV	Value	Change	Weight
Bear	A pause like FY2023; food flat	¥135bn	50%	16x, 20x	39%	¥2,898	down 46%	25%
Base	Volume and mix, some price	¥152bn	56%	18x, 28x	49%	¥4,369	down 18%	50%
Bull	The 30% price rise holds	¥175bn	60%	20x, 36x	56%	¥6,164	up 15%	25%
Weighted	**25 / 50 / 25**					**¥4,450**	**down 17%**	

Multiples are EV over business profit after costs: everything except the film, then the film. On the peer medians, 17.0x and 24.5x, the value is ¥3,929 (down 27%), past the short line. The band: long when my base value is at least 15% above the price, short when it is at least 25% below, no call in between.

Sensitivity: FY2027E film sales (56% margin) against the film multiple

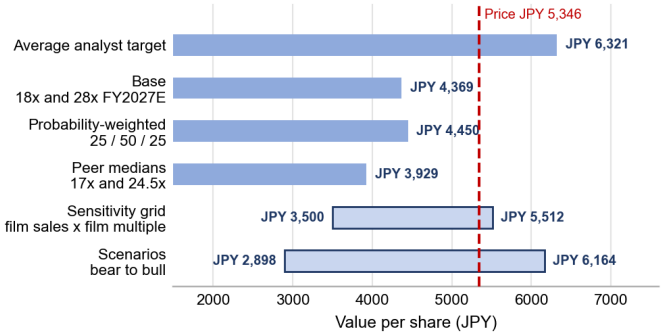
Film sales FY2027E	20x	28x	36x
¥135bn	¥3,500	¥4,095	¥4,689
¥152bn	¥3,699	**¥4,369**	¥5,039
¥175bn	¥3,968	¥4,740	¥5,512

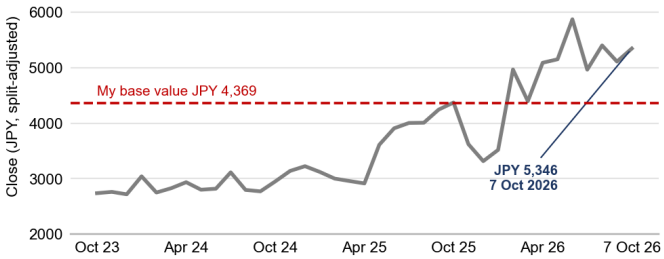
One of the nine cells sits above the price, and none by 15% or more; it needs both ¥175bn of film sales and 36 times. Three cells sit 25% or more below, all at 20 times. One turn of the film multiple is worth ¥84 a share, one turn on everything else ¥138. Every figure is live in the model.

Peer landscape

Company	Listing	Group	Year end	EV / op. income	P/E	What they make
Kikkoman	Tokyo: 2801	Food	Mar 2027	18.9x	24.4x	Soy sauce, seasonings, Del Monte foods in Asia
Nestle	SIX: NESN	Food	Dec 2026	17.0x	19.8x	Coffee, pet food, nutrition, confectionery
Kraft Heinz	Nasdaq: KHC	Food	Dec 2026	10.9x	n/m	Sauces, cheese, packaged meals
Resonac	Tokyo: 4004	Electronic materials	Dec 2026	24.5x	31.1x	Semiconductor materials, incl. packaging films and laminates
Shin-Etsu Chemical	Tokyo: 4063	Electronic materials	Mar 2027	14.0x	20.7x	Silicon wafers, photoresists, PVC, silicones
Entegris	Nasdaq: ENTG	Electronic materials	Dec 2026	32.6x	42.5x	Filters, process chemicals and materials for chipmaking
Sekisui Chemical	Tokyo: 4204	Reference	Mar 2027	10.1x	13.0x	Diversified; makes rival build-up films
Ajinomoto	Tokyo: 2802	Subject	Mar 2027	26.8x	36.6x	Seasonings, frozen foods, amino acids, CDMO, ABF film

stockanalysis.com (S&P Global consensus) for the fiscal year ending December 2026 or March 2027, retrieved 7 October 2026; year ends differ by up to three months. Medians: food 17.0x, electronic materials 24.5x; Sekisui Chemical, a rival film maker inside a broad group, is shown for reference only. JSR was delisted in June 2024. Entegris P/E on adjusted EPS (US$3.93; 61.1x on reported); Kraft Heinz consensus is on reported figures. Multiples only; no view on the peers' shares.





Left: value per share from the scenarios, the sensitivity grid, the peer medians, the weighted case and my base, against the price (red) and the average analyst target of ¥6,321. Right: month-end close, split-adjusted, October 2023 to 7 October 2026 (stockanalysis.com, retrieved 7 October 2026), against my base value.

Catalysts

When	Event	What I watch
9 November 2026 (third-party; not yet on Ajinomoto's calendar)	Q2 FY2026 results	Film growth after Q1's 54%; any sign of the price rise in the margin
26 November 2026 (planned)	Board vote on merging Fine-Techno	Effective 1 April 2027; the subsidiary's own accounts stop
30 November 2026	End of the ¥80bn buyback	Whether a new programme follows
May 2027	FY2026 results and FY2027 guide	Film volume by application; film margin; the FY2027 film guide
Any time	Rival films; Palliser	Sekisui or LG Chem qualified in AI substrates; a reportable film segment

Risks: what would hurt the view

Against the lean, on the upside. If the 30% rise holds and volume keeps growing, fiscal 2027 film profit could pass my bull case; the average analyst target is ¥6,321. A reportable film segment, as Palliser asks, could make the film easier to value on its own. **The film's own cycle.** Fiscal 2023 showed it can fall a quarter in a year; a pause in AI servers hits it first, and the multiple with it. **A rival qualified.** A large price rise makes a second source, Sekisui Chemical or LG Chem, more worth the long qualification. **Food.** Frozen Foods earned ¥8.4bn in fiscal 2025, down from ¥13.0bn, and raw material and Middle East costs weigh on food. The shares fell 16% on 7 November 2025 when the first half came in flat.

What would change my mind

Into a long: a price at or below about ¥3,799 with my numbers unchanged, or results that lift my FY2027 film business profit to about ¥147bn or more. **Into a short:** a price at or above about ¥5,825, or FY2027 film profit at or below about ¥73bn.

The view is wrong if, by October 2027, Ajinomoto reports FY2026 Functional Materials business profit below fiscal 2025's ¥54.6bn, a fall like fiscal 2023's, which points to my bear case; or its May 2027 forecast puts FY2027 Functional Materials business profit at ¥105bn or more, which points to my bull case.

Conclusion

My piece argued that Ajinomoto's film grows with the package and stays with Ajinomoto at high margins. The results support it: 54% growth in the latest quarter at a 57.7% margin, and a guide raised on the film alone. By sales Ajinomoto is a food company; by value at ¥5,346 it is mostly a film company, priced at about 40 times my FY2027 film profit. My call: NO CALL, leaning short, low conviction. Base value ¥4,369, down 18%, range ¥2,898 to ¥6,164.

Appendix: forecast assumptions

Assumption	FY2026E	FY2027E	Basis
Functional Materials sales, ¥bn	130	152	Guide 120.6; Q1 33.1 (+54%)
Functional Materials margin	56%	56%	FY2025 54.2%; Q1 FY2026 57.7%
Food business profit, ¥bn	158.0	164.3	Guide for FY2026; +4% in FY2027
Bio-Pharma business profit, ¥bn	17	20	Guide 17.0 for FY2026
Shared costs and other expense, ¥bn	-64.0	-66.0	Guide: shared -46.2; OP less BP -17.8; spread by sales
Tax rate; minorities' profit, ¥bn	26%; 10.0	26%; 10.5	Guide 25.9% and 10.0
Net debt; minorities (book), ¥bn	364.9; 73.8	held flat	30 June 2026; dividends and buybacks absorb free cash flow

Full workings, with live formulas, in the accompanying model, 2026-10-07_Ajinomoto_Model.xlsx.

Sources

Ajinomoto Consolidated Financial Results (tanshin) for FY2025, 7 May 2026, and Q1 FY2026, 6 August 2026. Ajinomoto Consolidated Results data sheets of 11 May 2023, 9 May 2024, 8 May 2025, 6 November 2025, 5 February 2026, 7 May 2026 and 6 August 2026. FY2026 Revised Forecast by Segment and Notice of Revision to Full-Year Forecast, 6 August 2026. Results presentation with script, 7 May 2026; Q1 FY2026 presentation, 6 August 2026; ASV Report 2026. Buyback notices of 2 July and 2 October 2026. Palliser Capital plan, 31 March 2026, as reported; DigiTimes, 13 May 2026. Share prices, consensus, the average target and peer figures from stockanalysis.com (S&P Global), retrieved 7 October 2026. Estimates for FY2026 and FY2027, the cost allocation and the valuation are the author's own.

About this note

I wrote this note and built the accompanying model independently. It is not a product of any bank or broker. It tests a claim from my journal piece of 7 October 2026, thephysicallayer.fyi/journal/ajinomoto-grows-with-the-package; all notes and their track record are at thephysicallayer.fyi/research. Figures from company filings are labelled as such; derived figures are marked; the forecasts and view are my own estimates and my own view. I hold no position in Ajinomoto. Personal research, not investment advice.

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